

Elevate Creative Group

Business Profile

1. Company Overview

Elevate Creative Group is a fictional small creative and digital services agency that provides branding, design, website development, and digital marketing services to small and medium-sized businesses.

The company operates on a combination of project-based engagements and recurring service agreements. Its primary activities involve delivering professional services to clients and outsourcing selected project work to independent contractors.

The business profile is designed to provide a realistic operating environment for demonstrating the complete accounting cycle, from initial company setup through transaction processing, reconciliations, adjusting entries, financial reporting, and month-end close.

2. Business Information

Item	Description
Company Name	Elevate Creative Group
Business Type	Creative and digital services agency
Industry	Professional, creative, and digital services
Business Size	Small business
Primary Market	Small and medium-sized businesses
Accounting Basis	Accrual basis
Fiscal Year-End	December 31
Reporting Currency	U.S. dollars (USD)

3. Ownership and Management

Elevate Creative Group is owned and managed by a fictional founder who oversees the company's strategic direction, client relationships, and overall business operations.

The company also engages independent contractors for specialized services when additional expertise or capacity is required for client projects.

For accounting purposes, the business is treated as a separate entity from its owner. Business transactions are therefore recorded separately from the owner's personal financial activities.

4. Services Provided

Elevate Creative Group provides the following services:

- Brand strategy and consulting
- Graphic design
- Website design and development
- Social media management
- Digital marketing services

The company may bill clients either on a project basis or through recurring monthly service arrangements.

5. Revenue Model

The company's revenue is generated primarily from professional services provided to clients.

Revenue may be earned through:

- Fixed-price projects
- Monthly recurring service agreements
- Consulting engagements
- Client retainers or deposits

Revenue is recorded in accordance with the applicable accounting treatment for the service provided. Client payments received before the related services are performed may be recorded as a liability until the revenue is earned.

6. Operating Activities

The primary operating activities of Elevate Creative Group include:

- Obtaining and managing client engagements.
- Providing creative, consulting, and digital services.
- Invoicing clients for services provided.
- Collecting customer payments.
- Paying operating expenses and suppliers.
- Engaging independent contractors for specialized project work.
- Maintaining business equipment and software.
- Preparing periodic financial reports for management.

7. Key Accounting Areas

The business is designed to include the following accounting areas:

- Cash and bank transactions
- Accounts receivable
- Accounts payable

- Customer deposits and deferred revenue
- Contractor expenses
- Software subscriptions
- Advertising and marketing expenses
- Prepaid expenses
- Fixed assets
- Depreciation
- Accrued expenses
- Owner's equity
- Bank and credit card reconciliations

These areas provide sufficient scope to demonstrate the complete accounting cycle within a small service-based business.

8. Financial Reporting Requirements

Management requires monthly financial information to monitor the company's financial performance and financial position.

The primary reports include:

- Profit and Loss Statement
- Balance Sheet
- Statement of Cash Flows
- Accounts Receivable Aging Report
- Accounts Payable Aging Report
- General Ledger
- Trial Balance

Financial information is reviewed during the month-end close process to identify errors, unusual balances, outstanding transactions, and required adjusting entries.

9. Purpose of the Simulated Engagement

The Elevate Creative Group accounting project is designed to demonstrate the complete accounting cycle for a small business.

The engagement will cover:

Company Setup → Opening Balances → Transaction Processing → Reconciliations → Adjusting Entries → Financial Reporting → Month-End Close

The project will demonstrate the practical application of accounting principles and QuickBooks Online functionality in a realistic business environment.